



Public Competition Assessment

18 November 2024

Stockland and Supalai - Proposed Acquisition of 12 residential masterplanned communities from Lendlease Group

The ACCC's decision

1. On 26 September 2024, the Australian Competition and Consumer Commission announced its decision not to oppose the proposed acquisition by Stockland Supalai Residential Communities Partnership Pty Ltd (**SSRCP**) of 12 Lendlease Group (**Lendlease**) residential masterplanned communities (**MPC**) projects (the **Proposed Acquisition**) after accepting a court-enforceable undertaking from Stockland Corporation Limited to divest its 'Forest Reach' MPC project in Illawarra (the **Undertaking**).
2. SSRCP is jointly owned by Stockland Communities Partnership HoldCo Pty Ltd (**Stockland**) (50.1%) and Supalai Australia Holdings Pty Limited (**Supalai**) (49.9%).
3. The Undertaking requires Stockland Corporation Limited to divest its existing Forest Reach MPC project in Illawarra to an ACCC-approved purchaser.
4. The ACCC considers that the Proposed Acquisition, without the Undertaking, would be likely to have the effect of substantially lessening competition in contravention of section 50 of the *Competition and Consumer Act 2010* (the **Act**). Section 50 prohibits acquisitions that would have the effect, or be likely to have the effect, of substantially lessening competition in any market. The ACCC considers that the Undertaking sufficiently addresses the ACCC's competition concerns such that the Proposed Acquisition is not likely to contravene section 50 of the Act.
5. The ACCC considered the competitive effects of the Proposed Acquisition in the following markets:

- the supply of residential MPC housing in Illawarra, North West Perth, Ipswich, Moreton Bay, and 7 other local areas,¹
 - the acquisition of land for residential development, and
 - the procurement of building and construction services.
6. The ACCC considers that, without the Undertaking, the Proposed Acquisition would be likely to have the effect of substantially lessening competition in the supply of residential MPC housing in the Illawarra region.
 7. The ACCC considers that Stockland and Lendlease compete closely as the two largest existing suppliers of residential MPC housing in the Illawarra region, and that there are few alternative MPC developers that could constrain Stockland post-acquisition. Stockland offered the Undertaking to address the ACCC's competition concerns in this region.
 8. The ACCC considers that the Proposed Acquisition would not have the effect, nor be likely to have the effect, of substantially lessening competition in any other market, including:
 - the supply of residential MPC housing in North West Perth, Ipswich, Moreton Bay, and 7 other local areas,
 - the acquisition of land for residential development, and
 - the procurement of building and construction services.
 9. This Public Competition Assessment outlines reasons for the decision by the ACCC not to oppose the Proposed Acquisition, taking into account the Undertaking.
 10. Please note that this and other public competition assessments are subject to the following qualifications:
 - The ACCC considers each transaction on a case-by-case basis and so the analysis and decision outlined in one assessment will not necessarily reflect the ACCC's view of another transaction.
 - As assessments are relatively brief and do not refer to confidential information, assessments do not necessarily set out all of the issues and information considered by the ACCC.

The parties and the transaction

The acquirer: SSRCP

11. SSRCP is a wholly owned subsidiary of SSRCP HoldCo Pty Ltd which is owned by Stockland (50.1%) and Supalai (49.9%). It is a special purpose acquisition vehicle for the Proposed Acquisition.

¹ This included the supply of residential MPC housing in South-West Sydney (NSW), Redlands (QLD), Logan (QLD), Melton (VIC), Whittlesea (VIC), Casey/Cardinia (VIC), and Wyndham (VIC).

Stockland

12. Stockland is a wholly-owned subsidiary of Stockland Corporation Limited (together with its subsidiaries, **Stockland Group**). Stockland Group is an ASX-listed diversified Australian property group that owns, funds, develops and manages portfolios of investment properties including retail town centres, commercial properties, industrial and logistics properties, MPC projects and land lease communities. Stockland Group currently has interests in 30 MPC projects across NSW, ACT, Queensland, Victoria and Western Australia.

Supalai

13. Supalai is a wholly owned subsidiary of Supalai Public Company Limited, which is listed on the Stock Exchange of Thailand. Supalai Public Company Limited principally operates as a property developer. Supalai has investments in 10 MPC projects in Victoria, Queensland and Western Australia through joint ventures with other developers, including Mirvac, Stockland, Satterley, Peet and ICD Property.

The target: Lendlease MPC projects

14. Lendlease is an ASX-listed, global real estate business, which has core capabilities in real estate development, construction and investment management. Lendlease's MPC development business constitutes one of two residential portfolios currently operated by Lendlease: communities and apartments. Lendlease's MPC development business (Lendlease Communities) comprises 16 MPC projects across NSW, Queensland, Victoria and Western Australia.

The transaction

15. The Proposed Acquisition includes a portfolio of 12 of Lendlease's 16 residential MPC projects, located across greenfield growth areas within Greater Sydney, South East Queensland, Greater Melbourne, and Greater Perth, and a separate agreement to acquire the employees and intellectual property associated with the MPC Projects.

Market inquiries

16. The ACCC conducted market inquiries with a range of industry participants, including competitors, potential competitors, input suppliers, industry bodies, other regulatory agencies, and other interested parties.
17. The ACCC consulted on the competition issues associated with the Proposed Acquisition.

Industry background

18. MPC housing projects are residential developments on greenfield land which are typically delivered in phases over multiple years. MPC projects are characterised by access to amenities with a focus on 'community living', such as open spaces, recreational facilities, education, and community hubs, as well as commercial or retail centres.

19. The development of MPC projects involves:



20. On a state and growth corridor basis, demand is driven by net immigration, population growth, and net interstate and inter-region migration. Governments can support the supply of new housing by making new land available for development. These new land parcels are typically situated in a 'growth corridor', whereby certain areas of a region are designated for economic growth and development.

Competition analysis in respect of the supply of residential MPC housing

21. The ACCC considered the effect of the Proposed Acquisition on the supply of residential MPC housing in local areas of overlap, including:
- horizontal unilateral effects in local areas where Stockland, Supalai, and/or Lendlease overlap, and
 - the increased likelihood of coordinated effects between Stockland, Supalai, and/or Supalai's joint venture partners in local areas of overlap.

Market definition

22. The ACCC's starting point for identifying the markets that would be affected by the Proposed Acquisition is to ascertain the areas of overlap between the products actually or potentially supplied by the merger parties. The ACCC then considers other actual or potential suppliers of those products, as well as what other products constitute sufficiently close substitutes to provide a significant source of constraint on the combined entity.

Product dimension

23. The ACCC considered that the product dimension of the markets is for the supply of residential MPC housing. The parties are engaged in the activity of developing new housing lots to meet increased housing demand (e.g. through population growth and migration), and the ACCC found that residential MPC developers compete most closely with other residential MPC developers.
24. The ACCC considered that established housing, including detached dwellings (as well as townhouses and apartments), was fixed in supply and is not likely to impose an effective constraint on Stockland and/or Supalai to prevent a substantial lessening of competition post-acquisition.

Geographic dimension

25. The ACCC considered the impact of the Proposed Acquisition on 11 local areas that contained one or more of the MPC projects that formed part of the Proposed

Acquisition. The local areas examined corresponded to growth corridors generally on the outskirts of major population centres. While the ACCC did not form a concluded view on the precise geographic dimensions of these local areas, it did have regard to local area considerations (such as topography), as well as market feedback which indicated that competition is generally localised to suburban catchment areas of an approximately 15 km radius.

Competition analysis in respect of the supply of residential MPC housing in Illawarra

26. In Illawarra, Stockland has the Forest Reach MPC project and Lendlease has the Calderwood Valley MPC project.
27. The ACCC considers that the market for the supply of residential MPC housing in Illawarra is highly concentrated, with Stockland and Lendlease competing closely as the two largest MPC developers with few alternative MPC developers in this region.
28. The ACCC found that Stockland's Forest Reach MPC and Lendlease's Calderwood Valley are geographically close (within ~7 km), provide similar pricing and lot sizes, and are both located near Wollongong CBD (22-minute and 25-minute drives respectively). Market feedback further indicated that Stockland and Lendlease compete for and attract a similar customer demographic including families and first-home buyers, particularly as both parties have a strong community offering and a similar price range.
29. The ACCC closely considered the estimated number of remaining lots from existing and future MPC projects in the Illawarra region up to and including FY29.
30. The ACCC found that there are few existing alternative MPC developments, and those which are in the region have limited remaining lots, particularly compared to Stockland and SSRCP post-acquisition. Further, many of these alternative developments appear unlikely to be able to increase or bring-forward their lot releases in response to an exercise of market power post-acquisition.
31. Additionally, the ACCC considers that barriers to entry and expansion in the Illawarra region are high, and the timing of future entry is highly uncertain given delays in the delivery of essential infrastructure and rezoning/planning approvals.

Competition conclusion

32. Given the insufficient number and size of existing and expected future alternative developments in Illawarra to constrain Stockland post-acquisition, the ACCC is concerned that the Proposed Acquisition would increase:
 - a) Stockland's incentives to raise the price, delay the supply, or reduce the quality of offerings from its Forest Reach MPC. Post acquisition, Stockland would benefit from such actions to some extent through the resulting increase in the demand for, and price of, SSRCP's lots at its Calderwood Valley MPC project,
 - b) Stockland's incentives to influence SSRCP's strategic decisions – for example, by preventing or hindering SSRCP from competitively responding

to Stockland's conduct in relation to Forest Reach by bringing forward the supply or increasing the quality of lots from SSRCP's Calderwood Valley MPC project, and

- c) the likelihood of coordination between Stockland and Supalai on the pricing, supply, or quality of their overall holdings of MPC lots across both the Forest Reach and Calderwood Valley projects to increase their combined profits.

- 33. As such, the ACCC considers that, without the Undertaking, the Proposed Acquisition would be likely to have the effect of substantially lessening competition in the supply of residential MPC housing in Illawarra.

Competition analysis in respect of the supply of residential MPC housing in North West Perth

- 34. In North West Perth, Stockland's MPCs are the Amberton Beach, Mariginiup, and Illyarrie projects, Lendlease's MPCs are the Alkimos Beach and Alkimos Vista project, and Supalai has an interest in the Elavale MPC project (in respect of which Peet Limited is also a development partner).
- 35. The ACCC had preliminary concerns in relation to North West Perth primarily due to the closeness of competition between the parties in Alkimos (~5 km radius) and the few alternatives in that region, particularly over the short to medium term.
- 36. Market feedback after the release of the Statement of Issues indicated that residential MPC housing in Yanchep (~10 km north of Alkimos) provided a competitive and increasingly attractive option for customers. Inquiries suggested Yanchep is a high growth area with significant infrastructure investment, including a railway line connecting Yanchep to Alkimos and the Perth CBD that commenced operations in July 2024.

Competition conclusion

- 37. Given the availability of alternative MPC developers in Alkimos and further north in Eglinton and Yanchep, the ACCC found that there are several large additional developments capable of competitively constraining Stockland and Supalai post-acquisition. This includes comparable developments that would undermine the conditions for, or lessen the risk of, co-ordination between Stockland, Supalai, and Peet on the pricing, supply, or quality of their MPC offerings post-acquisition.
- 38. Following further investigation and information from industry, the ACCC also considered that certain governance restrictions and agreements with landowners would mitigate risks of co-ordination.
- 39. On this basis, the ACCC considers that the Proposed Acquisition would not have the effect, nor be likely to have the effect, of substantially lessening competition in the supply of residential MPC housing in North West Perth.

Competition analysis in respect of the supply of residential MPC housing in Ipswich

40. In Ipswich, Stockland has the Kalina, Providence, and Botanica MPC projects, Lendlease has the Springfield Rise MPC project, and Supalai has an interest in Eden's Crossing MPC project.
41. The ACCC had preliminary concerns that the Proposed Acquisition would bring together Stockland and Lendlease as the only two MPC developers in Springfield, which the ACCC understood was one of the most established suburbs in the region with a strong amenity offering.
42. However, further investigation indicated that nearby suburbs to Springfield, including White Rock and Ripley (approximately 9 and 15 minute drives away respectively), also have strong amenity offerings. Each of these suburbs has large MPC projects, including SIG Group's Amory MPC and Intrapac's Whiterock MPC. The ACCC considers these MPC projects offer similar access to amenities to Springfield, including schools, parks, and shopping centres.
43. The ACCC understands that there are 26 existing alternative MPC projects within a 15 km radius of Springfield, and that Lendlease's Springfield Rise project is approaching completion such that the incremental increase in Stockland's and Supalai's incentives to exercise market power post-acquisition would be minimal.

Competition conclusion

44. Given the low incremental increase in Stockland's incentives to exercise market power and the availability of nearby alternative developments with comparable amenity offerings to Stockland, Lendlease, and Supalai's projects, the ACCC considers that the Proposed Acquisition would not have the effect, nor be likely to have the effect, of substantially lessening competition in the supply of residential MPC housing in Ipswich.

Competition analysis in respect of the supply of residential MPC housing in Moreton Bay

45. In Moreton Bay, Stockland's MPCs include its existing Newport project and a future Caboolture West project. Lendlease's MPC is Kinma Valley, and Supalai has an interest in the Ridgeview MPC project. The ACCC understands that the Proposed Acquisition would bring together Kinma Valley and Caboolture West as the two largest MPC housing offerings in the region based on estimated remaining lots.
46. At the time the Statement of Issues was published, the ACCC had preliminary concerns that alternative MPC developers in the Moreton Bay region may not constrain Stockland and Supalai post-acquisition, given the alternatives are predominantly small to mid-tier developments. The ACCC was concerned alternative MPC developers may not provide the same level of amenity or overall quality provided by Stockland and Lendlease, particularly in relation to amenities such as community spaces, parks, and access to schools.
47. However, further investigation indicated that the small to mid-tier developments in this area are likely to provide a competitive constraint, particularly those

located near amenities in established suburbs and/or larger MPC developments. The ACCC understands some smaller MPC developers leverage nearby amenities as part of their marketing to customers even if they are not located within their MPC project.

Competition conclusion

48. Accordingly, the ACCC considers that the Proposed Acquisition would not have the effect, nor be likely to have the effect, of substantially lessening competition in the supply of residential MPC housing in Moreton Bay as there are sufficient alternatives available that would impose a competitive constraint on Stockland and Supalai post-acquisition.

Competition analysis in respect of the supply of residential MPC housing in 7 local areas

49. The ACCC considers that the Proposed Acquisition would not have the effect, nor be likely to have the effect, of substantially lessening competition in the supply of residential MPC housing in the following 7 local areas:
- South-West Sydney, NSW
 - Redlands, QLD
 - Logan, QLD
 - Melton, VIC
 - Whittlesea, VIC
 - Casey/Cardinia, VIC
 - Wyndham, VIC.
50. This assessment reflects one or more of the following factors: limited-to-no overlap between Stockland, Supalai and/or Lendlease; sufficient alternative MPC developers available to effectively constrain Stockland and Supalai; and/or low combined shares of MPC housing supply. On the whole, market participants did not identify competition concerns with the Proposed Acquisition in relation to the supply of residential MPC housing in these 7 local areas.

Competition analysis in respect of the acquisition of land

51. The ACCC considers the Proposed Acquisition would not have the effect, nor be likely to have the effect, of substantially lessening competition in any market for the acquisition of land (or development rights pursuant to a project development agreement) for residential development, whether on a national, state, or regional basis.
52. The ACCC found that the acquisition of land is generally highly competitive with numerous large and small MPC developers actively seeking landholdings, particularly as opportunities to acquire new land suitable for MPC development is

limited, and that several large and small MPC developers would continue to constrain Stockland and SSRCP.

Competition analysis in respect of the procurement of building and construction services

53. The ACCC considers the Proposed Acquisition would not have the effect, nor be likely to have the effect, of substantially lessening competition in any market for the procurement of building and construction services for MPC developments, whether on a national, state, or regional basis.
54. The ACCC's investigation indicated that Stockland and Lendlease do not typically procure residential building services, with purchasers being more likely to separately procure building and construction services (including as part of a 'house and land' package).
55. Additionally, the ACCC found that Stockland and Lendlease account for a small proportion of demand for the procurement of civil works construction services for MPC development (e.g., roads, sewage, water, public parks).

Undertakings

56. In order to address the ACCC's competition concerns in relation to the supply of residential MPC housing in the Illawarra region, Stockland Corporation Limited offered an Undertaking pursuant to section 87B of the Act.
57. The ACCC considers that the Undertaking will address its competition concerns with the Proposed Acquisition as it requires Stockland to divest its Forest Reach MPC in the Illawarra region, effectively removing the overlap between the parties in this region. The Undertaking aims to create or strengthen a viable, effective, stand-alone, and independent competitor for the supply of residential MPC housing in the Illawarra region.
58. An independent manager will manage Forest Reach from the period that SSRCP acquires Calderwood Valley in Illawarra (one of the 12 Lendlease targets under the Proposed Acquisition) until such time as the divestiture of Forest Reach is complete. An independent auditor will also be appointed to audit Stockland Corporation Limited's compliance with the Undertaking.
59. A copy of the Undertaking is available on the ACCC mergers register and undertakings register. A brief summary of the Undertaking is set out below:

- Stockland Corporation Limited will divest the Forest Reach MPC project to an ACCC-approved purchaser,
- the Forest Reach MPC project includes all the necessary associated assets and rights for the eventual purchaser to compete effectively with SSRCP in the supply of residential MPC housing in the Illawarra region,
- Stockland Corporation Limited must maintain the economic viability, marketability, competitiveness and goodwill of the Forest Reach MPC project prior to divestiture, and
- Stockland Corporation Limited must appoint and maintain an ACCC-approved independent auditor for the effective oversight of Stockland's compliance with the Undertaking.

Conclusion

60. Based on the above analysis, the ACCC considers that SSRCP's Proposed Acquisition of 12 Lendlease residential MPC projects, in the absence of the Undertaking, would be likely to have the effect of substantially lessening competition in the supply of residential MPC housing in the Illawarra region.
61. However, the ACCC considers that the Undertaking addresses these competition concerns, such that, with the Undertaking, the Proposed Acquisition would not have the effect, nor be likely to have the effect, of substantially lessening competition in any market.